

Deer velvet in S. Korea (1st quarter of 2024)

Reported on 15th of April 2024

1 Quarantine statistics of deer velvet from major export countries¹⁸

1.1 Dried velvet

Dried velvet (kg)								
Country	2017	2018	2019	2020	2021	2022	2023	2024 (~Mar)
New Zealand	61,815	78,410	44,535	37,811	24,369	39,655	47,958	7,904
China	61,972	74,117	69,716	77,990	72,634	89,569	74,318	21,728
Russia	50,989	42,132	46,450	54,042	55,986	43,896	29,109	9,324
Hong Kong	11,293	15,402	17,828	13,701	22,372	23,835	12,597	86
Kazakhstan	1,081	1,270	701	2,354	1,428	2,097	1,095	
Total	187,198	211,410	179,782	185,931	176,842	199,086	165,095	39,045

1.2 Frozen velvet

Frozen velvet (kg)								
Country	2017	2018	2019	2020	2021	2022	2023	2024 (~Mar)
New Zealand	64,809	81,365	99,113	77,477	91,874	116,584	116,292	41,521
China	68	6	10		2		2.6	418.5
Russia		3						
Total	64,900	81,380	99,124	77,477	91,877	116,591	116,295	41,940

1.3 Rolling year

Dried velvet (kg)			Frozen velvet (kg)		
Country	Apr 2022	Apr 2023	Country	Apr 2022	Apr 2023
	-	-		-	-
	Mar 2023	Mar 2024		Mar 2023	Mar 2024
New Zealand	43,869	41,725	New Zealand	105,006	107,323
China	92,114	82,271	China		421.1*

Russia	45,837	34,931	Russia		
Hong Kong	9,772	11,123	Hong Kong		
Kazakhstan	2,281	911	Kazakhstan		
Australia	30	14	Australia	0.7	0.2
USA	1.6	2.0	USA		
Others	0.1	0.1	Others	4.7	0.4
Total	193,455	170,977	Total	105,011	107,745

*400 kg frozen velvet from China cleared Korea customs in February of 2024.

2 Korean news

2.1 a special exhibition hosted by the MFDS included NZ deer velvet

A special exhibition hosted by the MFDS (Ministry of Food and Drug Safety) and display collection of Professor Park Jong-chul. Professor Park is honorary professor at Suncheon National University and director of the Cheonsusan Herbal Research Institute.

The Jeju Centre of the MFDS in Seogwipocity, Jeju Province, is on display with Professor Park's collection including Fuyang & Myrrh, Agarwood, Longan, Saffron crocus, Nutmeg and Maca.

In addition, you can meet Korean Chamdang-gui, Chinese Laiji, New Zealand's deer velvet, European, white-patterned thistle, and South Africa's devil's claw products representing various regions of the world.



AKOM News, 2024-01-03¹

2.2 Kwangdong is heading to Health Functional Food sector

Kwangdong Pharmaceutical is trying to acquire BL Healthcare, a health functional food manufacturer. Upon completion of the acquisition, Kwangdong Pharmaceutical's annual sales volume is expected to exceed 1.5 trillion Korean won.

BL Healthcare is doing B2B business to the customers like KGC Ginseng Corporation, Green Cross HS, Daewoong Life Sciences, Chong Kun Dang Health, etc. and selling ingredients such as red ginseng, probiotics, complex nutrients, and some for cosmetics. It has many patented raw materials such as complex herbal extracts for helping hangovers.

With this acquisition, it has become clear that **Kwangdong Pharmaceutical's management strategy focuses on expanding the HFF business**. In fact, Kwangdong Pharmaceutical has been focusing on functional food business since before the acquisition was announced. Earlier in July, Kwangdong Pharmaceutical invested 3 billion won in capital to establish KwangDong Health Bio.

DealSite, 2024-01-08²

¹ https://www.ekomnews.com/bbs/board.php?bo_table=news&wr_id=56229

² <https://dealsite.co.kr/articles/115446/068031>

2.3 KGC's new store strategy - selling other brands health food including Comvita

KGC has opened a healthy concept drugstore type "Jeongmol Euljiro Store" where you can purchase 90 kinds of other brands' health foods as well as red ginseng, deer velvet, and mushroom products from KGC.

At this store, you can find KGC's hero products such as "Red Ginseng Everytime," "Red Ginseng Ton," and "I-Pass," as well as famous brand health foods from 22 domestic and foreign companies, including "Koryeundan," "Sellex," "CJ BioCore," and "Comvita."

It is noteworthy that health foods such as protein bars, dried fruit chips, and balsamic vinegar, as well as various nutritional supplements such as vitamins, lactic acid bacteria, and milk thistle, are brought to the fore. The interior of the store is designed with a red straight-line design on a clean and modern white tone in line with the new brand identity of JUNG KWAN JANG, which aims to become a **"global health food solution brand."**

The plan is to expand the number of drug stores specializing in health foods to about 10 within this year.



The Food & Beverage News, 2024-01-22³

2.4 Pyunkang's new commercial model, Chanwon Lee

Singer Lee Chan-won the "Trot Idol" who ranks among the top 30 in the advertising model brand reputation (January 2024), has become a new model for PyunKang's deer velvet products.

As Lee Chan-won is loved for his young and friendly charm, he will promote the brand awareness as a model for Gujeon (mean Word of mouth) Deer Velvet by the Pyunkang Oriental Medicine, while showing a healthy and energetic image to increase brand value.

Gujeon Deer Vevlet by Pyunkang Oriental Medicine, which selected Lee Chan-won as a model, is a health food made with Russian Avaisk deer velvet and 22 domestic natural ingredients. Previously also selected several famous singers such as Songhae and Lim Young-woong as models.



Woman Chosun, 2024-01-24⁴

2.5 For the second consecutive year, 40 cases of individual HFF approved

³ <https://www.thinkfood.co.kr/news/articleView.html?idxno=99641>

⁴ <https://woman.chosun.com/news/articleView.html?idxno=113949>

In 2023, a total of 44 ingredients were listed as individually recognized health functional foods, almost like 2022, when 45 cases were recorded.

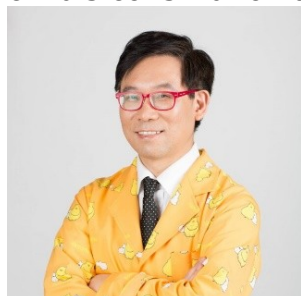
Also in 2023, those ingredients were mostly focused on body fat, skin, and muscle strength.

The number of individual recognitions has been increasing rapidly since 2022, and it is confirmed that the number of individual recognitions, which was only 13-24 per year during the period 2018-2021, is very active, recording 45 cases in 2022 and 44 cases in 2023.

Yakup News, 2024-02-06⁵

2.6 Early detection is important for premature precocious puberty, adverse effects of child growth.

Precocious puberty refers to a condition in which children experience secondary sexual characteristics earlier than their peers due to various causes such as westernized eating habits, an increase in environmental hormones, and childhood obesity. Children with precocious puberty show rapid physical growth early on, but their final heights may be smaller as the growth plate closes early. In traditional medicine, excessive heat or obesity in the body is the cause of precocious puberty, and to control it, treatment is performed to lower body heat and reduce moisture in the body. In the case of herbal medicine prescriptions, medicines such as GOLD, which lowers fever and removes humidity, FIGWORT, which helps with growth and reduces heat in the kidneys, and **DEER VELVET, which strengthens the muscle bones of the bones**, are used to manage the child's constitution and growth by considering the balance.



Media Fine, 2024-02-22⁶

2.7 History of Korean New Zealanders

There was a unique period in Korean New Zealanders' history where the society was characterized by various international interactions, including marriages, employment, and education. A notable development during this era was the establishment of deer velvet businesses by Koreans, which is highlighted as a significant contribution.

Deer were introduced to New Zealand in the 1850s by British settlers. Initially, deer antlers were considered useless by the locals and discarded. However, Koreans recognized the value of deer antlers, which were highly regarded in their culture for their health benefits. This led to the establishment of a lucrative deer antler trade by Koreans in New Zealand, supported by local institutions and even the government, recognizing the economic potential of what was once deemed worthless. This venture exemplifies the innovative spirit and ability to identify and capitalize on overlooked resources.

⁵ <http://m.yakup.com/news/index.html?mode=view&nid=290220>

⁶ <https://www.mediafine.co.kr/news/articleView.html?idxno=54333>

SME Today, 2024-02-23⁷

2.8 Korean velvet product, first export route to Costco Australia

Okannae, a member of the Jecheon Oriental Medicine Bio Cluster, has successfully entered the Australian market through **Costco**, exporting **6,000 sets** of Hongsam Collagen Jelly Stick products. This move is set to diversify its market reach beyond China and Russia, tapping into the global demand for K-food. Okannae is expanding rapidly with OEM model for renowned oriental doctors and Nonghyup (Agri Co-op). The company's growth is further bolstered by confirmed exports to Taiwan and pending shipments to Russia, contributing to Jecheon's rising export figures, which stood at \$3.92 million at the end of 2023. Jecheon City officials anticipate that Okannae's success will inspire other local companies and propel the herbal natural products industry forward, especially in anticipation of the **2025 Jecheon International Oriental Natural Products Industry Expo**.

Jecheon Daily, 2024-02-24⁸

2.9 Deer farmers are angry over companies distributing imported deer velvet

Korea Deer Breeders Association is accepting reports and farmers are complaining about the fact that has shared in earlier news.

Farmers saying

- It was difficult because of the illegal distribution of imported deer velvet that was destroying the industry, but there is no hope that there are still such unknowns\
- Sometimes companies ask to inflate the amount of their purchases, but this is something that must be suspected. You must reject it in a cold manner.
- We must find these bad people in the deer industry and expel them from the industry forever. Let's all keep an eye on them.

⁷ <https://www.sbiztoday.kr/news/articleView.html?idxno=21544>

⁸ <https://www.cj-ilbo.com/news/articleView.html?idxno=1126120>



The Korea Deer Times (KDBA), 2024-02-28

2.10 Korea Deer Breeders Association review 2023 fiscal year

At the annual members meeting, 60 members attending, KDBA approved accounting of 2023 fiscal year. There was voice about new business model for financial independence.

- In **2023, KRW 744 million (NZD 923k) were income** and spent KRW 730 million (NZD 906k)

- It was decreased budget than 2022

- About 70% of income from velvet sales from the velvet competition and membership fee is 7% of total budget



The Korea Deer Times (KDBA), 2024-02-28

2.11 Levy scale of Korean deer industry

In 2023, the Levy of deer industry raised total **KRW 165 million (NZD 203k)**, including KRW 76 million (NZD 93k) from farmers, KRW 80 million (NZD 98k) from government support, and KRW 9 million (NZD 11k) carried over the previous year.

KRW 160 million (NZD 197k) was executed, including KRW 100 million (123k) for consumption promotion projects and KRW 45 million (NZD 56k) for education and information provision projects.

구분	내역	예산액	실액
총계	총계	16,500,000	16,500,000
	수입	16,500,000	16,500,000
	지출	16,500,000	16,500,000
수입	정부지원금	8,000,000	8,000,000
	농민지원금	7,600,000	7,600,000
	기타수입	100,000	100,000
	잔액	0	0
지출	소비홍보	10,000,000	10,000,000
	생산자 정보제공	3,855,000	3,855,000
	소비자 정보제공	725,000	725,000
	잔액	0	0

The Korea Deer Times (KDBA), 2024-02-28

2.12 "Improving Cardiopulmonary Function" Combination herbal therapy Causes Chronic Obstructive Lung Disease

Dr. Kim Nam-sun showcased his COPD (Chronic Obstructive Pulmonary Disease) treatment case at Harvard Medical School as the first Korean oriental doctor. He is associated with Yeongdong Oriental Medicine Clinic and used two products together for the treatment research. Gong Shim-dan and Nokyong Yeongdong-tang. The ingredients in Kim's Nokyong Yeongdongtang include a blend of 35 herbal medicines, including deer velvet.

Dong A Daily, 2024-03-13⁹

2.13 Teenager girl K-pop star's supplement, Gong-Jin-Dan

Le Seraphim Chae-won's shared her go-to supplements, which appeared on a TV show, has become a hot topic of these days. "After getting sick, I became more interested in my health," Chae-won said, taking five nutritional supplements and even Gong-Jin-Dan.

In addition to Chae-won, there are stories of celebrities who are taking care of their health through GongJinDan. In fact, singer Crush appeared as a guest on a radio show late last year and mentioned, "I usually take one Gong-Jin-Dan for health care every day," and actor Ma Dong-seok, who is famous for the movie "The Crime City" series, also said in an interview that his secret to his physical strength is Gong-Jin-Dan. But it was an **amazing scene to see an idol singer in her early 20s and the centre of the Generation Z trend, carrying Gong-Jin-Dan in her bag.**

The ingredients that make up GongJinDan are 'Deer velvet', 'Angelica Gigas Root', and 'Cornus Fruit'. Among them, **deer velvet has a wide range of effects such as improving immunity, activating brain cells, strengthening concentration, and treating hypotension and anemia.**

'Angelica Gigas Root, which has a blood-raising effect, Cornus Fruit, which has a kidney-boosting effect, and many other herbal medicines combine to create the emperor's supplementary medicine.

The efficacy of Gong-Jin-Dan has been proven through objective research results. According to a paper published by the Center for Spinal Joints at Jaseng Oriental Medicine Hospital in the **SCI-level international journal "Nutrients,"** it is analyzed that the long-lived gene "Sirtuin 1" is activated, which has **a positive effect on the protection and growth of nerve cells.** The research team evaluated the effect of the diagnosis after exposing nerve cells to hydrogen peroxide for 24 hours to induce damage. The results showed that the diagnosis actively induces the expression of "Sirtuin 1" to enhance the viability of damaged nerve cells. In addition, it was also found that the diagnosis has antioxidant effects, preventing damage to brain nerve cell DNA, and raising the expression of brain-derived nerve and nerve growth factors.



⁹ <https://www.donga.com/news/lt/article/all/20240312/123928149/1>

AKOM News, 2024-03-18¹⁰

2.14 In spring, the amount of deer feed shall be increased

Livestock Genetic Resource Center at the National Institute of Animal Science emphasized for special attention for feeding deer in spring, when the antlers begin to grow, and the deer enter the late stages of pregnancy. Also shared suggestions for deer farmers around springtime. Meanwhile, as of **2022, the number of deer is about 20,500**, with **deer production reaching KRW 23.8 bill (NZD 29.4 mil)** and **deer velvet reaching KRW 40.1 bill (NZD 49.5 mil)**.



Korea Food & Drug News, 2024-03-20¹¹

2.15 Deer Industry New Zealand visit HanPure's GMP factory

DINZ visited Hanpure's Pocheon GMP Plant to observe the deer velvet production system.

DINZ Chairperson and Market Managers attended, discussing with Hanpure's CEO. Hanpure showcased its systematic and hygienic production process, including prescription herbal medicines with New Zealand deer velvet. DINZ representatives participated in the formulation process and exchanged opinions. Hanpure pledged to promote New Zealand deer velvet for Korea market, and DINZ agreed to further collaborate on research and support.

DINZ oversees the entire industry, from quality management to research, development, and exports. Hanpure is a major player in Korea's deer velvet industry, responsible for significant distribution and supply. Hanpure signed an MOU with DINZ in 2022 to enhance cooperation.



Smart Today, 2024-03-24¹²

¹⁰ https://www.ekomnews.com/bbs/board.php?bo_table=news&wr_id=57181

¹¹ <https://www.kfdn.co.kr/65211>

¹² <https://www.smarttoday.co.kr/news/articleView.html?idxno=46486>

2.16 New CEO of KGC

KGC announced that at its annual shareholders' meeting on March 28th, Ahn Bin (52, pictured), the Global Head, has been appointed as the new CEO and representative director. Ahn, the newly appointed CEO, joined KGC in 2000 and has served as the Brand Manager, Cosmetic Business Manager, and CEO of CosmoCos.

Ahn stated, "To leap into a top-tier global health company, there needs to be a paradigm shift towards a 'Global One Market' perspective, which integrates domestic and overseas markets." He added, "We will drive profit maximisation through overwhelming growth in overseas markets and lead a resurgence in the domestic market through integrated online and offline marketing, starting with franchising, to maximize corporate profitability and shareholder value."

As KGC celebrates its 125th anniversary this year, it is tightening the reins on its 'ginseng globalisation strategy,' including expanding overseas sales. Ahn, who has served as the Global Head, is expected to be a suitable candidate for strengthening overseas business, according to industry analysts.



Munhwa Ilbo, 2024-04-09¹³

¹³ <https://munhwa.com/news/view.html?no=2024040101039907205001>

3 News related with product launching

[Deer velvet food products in Korea.xlsx](#)

3.1 Pulmuone Green Juice SanNokSam Gold

Brand <Product name>	Pulmuone Green Juice < SanNokSam Gold >		
Company/ Manufacturer	Pulmuone Green Juice / Pulmuone Health & Living		
Volume and type	3000ml (100ml x 30 pouches)	Price in KRW	180,000
Product category	Liquid tea	Other ingredients	Wild ginseng, Black garlic, herbal extracts
Deer velvet %	0.4% of 83% mixed extract (1% solid component)	Origin of velvet	New Zealand

SanNokSam Gold was renewal & launched by Pulmuone Green Juice. It is a healthy juice product that adds herbal ingredients such as rehmannia root and white poria which containing various efficacy in addition to existing raw materials such as cultivated wild ginseng and deer velvet grown in New Zealand. Authentic raw materials such as lilyturf, cornus fruit, licorice were used to add healthy benefits and taste.

"San Noksam Gold" can be found through Pulmuone Green Juice franchise shops and Pulmuone Green Juice delivery staffs. In commemoration of the renewal launch, there will also be an event to give 1 box for 2 boxes of SanNokSam Gold and 2 boxes for 3 boxes of 3 boxes.



News One, 2024-01-16¹⁴

3.2 Nutricore, Antibiotic-free 'Black Goat Extract'

Brand <Product name>	Nutricore < Black Goat Extract >		
Company/ Manufacturer	Nutricore / Green Bio		
Volume and type	1500ml (50ml x 30 pouches)	Price in KRW	86,000
Product category	Meat Extract Processed Food	Other ingredients	Complex extract of black goat meat, argawood, deer velvet and many others
Deer velvet %	Not specified	Origin of velvet	New Zealand

Nutricore released a "black goat extract" made of Korean black goat that is antibiotic-free certified. They said, "We fed non-chemical pesticides grass in

¹⁴ <https://www.news1.kr/articles/?5291168>

Hwasun, Jeollanam-do, and did not provide any antibiotics, synthetic antimicrobials, growth promoters, hormones, and synthetic colorants during the breeding process." "We have mixed various traditional ingredients that go well with black goats, such as New Zealand deer velvet, Argawood, Angelica Gigas Root, Cornus Fruit, Rehmannia Root, ginseng, red ginseng, situ mushroom, Yeongji mushroom, black garlic, black bellflower, black ginseng, black ginseng, black maca, raspberry and black beans." They added, "It can be helpful to those who are tired of repeated work every day and feel that they need to improve their constitution and improve their health."



Dong A Ilbo, 2024-02-05¹⁵

3.3 Daesang Wellife, Red ginseng extract with deer velvet

Brand <Product name>	Daesang Wellife < Red ginseng extract with deer velvet >		
Company/Manufacturer	Daesang Wellife / Green Bio		
Volume and type	1200ml (50ml x 24 pouches)	Price in KRW	75,000
Product category	Red Ginseng Drinks	Other ingredients	Honey, Herbs extract
Deer velvet %	22.45% as the extract (solid contents:0.1%)	Origin of velvet	New Zealand

Daesang Wellife has released two new products, "Black Ginseng Daebo Gold" and "Red Ginseng Extract with Deer Velvet," which are made of black ginseng and red ginseng grow in Korea for six years.

Among them, the "Red Ginseng Extract with Deer Velvet" contains a six-year-old red ginseng concentration grow in Korea and a deer grown on a grazing ranch in a clean area of New Zealand.



Sports DongA, 2024-02-05¹⁶

3.4 HanSamIn, HongSamJin Good Day Ample

Brand <Product	HanSamIn < HongSamJin Good Day Ample >
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¹⁵ <https://www.donga.com/news/Economy/article/all/20240205/123396886/1>

¹⁶ <https://sports.donga.com/economy/article/all/20240205/123379291/2>

name>			
Company/ Manufacturer	NongHyup HanSamIn / Goryeo Insam Co.		
Volume and type	400g (20g x 20 bottles)	Price in KRW	70,000
Product category	Red Ginseng Drinks	Other ingredients	Date, Honey, Vitamins, mushrooms etc
Deer velvet %	Not specified in pack	Origin of velvet	Korea

Nonghyup HanSamIn released "HongSamJin Good Day Ample", a follow-up product of the Red Ginseng series.

According to Nonghyup, the Red Ginseng series was very popular that 2 million pouches of "HongSamJin Good Day Stick" products were sold in five months after its launch in the second half of last year.

"Hong Sam-jin Good Day Ample" is an ampoule containing six-year-old domestic red ginseng concentrate made with HansamIn's highly enriched technology and a domestic deer velvet concentrate. In particular, the company explained that it is a product that carefully selects only the premium domestic deer velvet concentrate that preserves more than 17.8% of the solid component.



Munhwa Ilbo, 2024-02-21¹⁷

Appendix I. Spreadsheets are supplied separately

Import statistics. Korean import statistics for deer velvet.xlsx	Biosecurity pass recording not HS Code based trade records by export country . Source is Animal and Plant Quarantine Agency (농림축산검역본부 ¹⁸)
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¹⁷ <https://munhwa.com/news/view.html?no=2024022101032507000003>

¹⁸ <http://eminwon.qia.go.kr/statistics/> (품목-국가별 수출입현황)

Food imports list. Korean food imports list for deer velvet.xlsx	Number of trade recording by food importers and products they imported. No volume or price of each trade but counting trade events. No data for imports for pharmaceutical purpose. Source is Imported Food Information Maru website (수입식품정보마루 ¹⁹)
Food products. Deer velvet food products in Korea.xlsx	Accumulated food product list over recent years. Based on various news article about product launching mostly supplied originally by the brand owner as a press release activity.

*To access previous reports please access [this online folder](#)

¹⁹ <https://impfood.mfds.go.kr/CFCCC01F01>